

intermediaries have created different ways to skim investors. In this chapter, we highlight investment methods that minimize expenses.

Fund expenses compound too!

Most of us invest in the markets through the managed fund route. These could be mutual funds, PMS or AIFs.³ While these are different types of investment structures, they are more or less similar as they pool investors' money and then nominate a fund manager to manage the corpus. The investor pays certain expenses for this fund management as well as other operational expenses. In [Chapter 2](#), we mentioned the power of compounding.

Unfortunately for investors, expenses too can compound over time! As an illustration, let us compare two mutual funds with the same gross return of 15 per cent per annum. The first has an expense ratio of 2.5 per cent per annum while the second has an expense ratio of 0.1 per cent per annum. Let us now see the impact of these expense ratios on the long-term returns generated from investing Rs 1 lakh in each of these mutual funds (see the exhibit below).